

Technology India, said, "We have our product differentiation. In the memory space, we focus on static and specialty memory. In the USB space, we have wireless and bridged technology (bridge storage and USB to Ethernet). In MCUs, we have programmable system-on-chip (PSoC)."

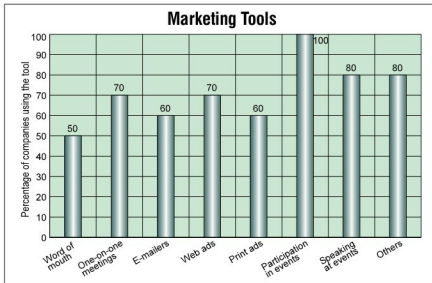
Individual companies' core competencies also play an important role. Rajiv Jain, vice president and managing director, Infineon Technologies India, shared, "We use our core competencies in analogue, radio frequency, power and embedded control, to solve problems in automotive, industrial electronics, chip card, security and mobile phone platforms."

Creating holistic or complete solutions rather than point solutions also helps. Tarak Balaji, director-Technical Centre India, Delphi Automotive Systems, claimed, "There is no other full product design competitor in our space. Most of the design houses are dependent on outside design for India, but we do for India, from India, and from small cars to large ones, e.g., from Nano to Xylo. We do it at India price-point for India."

Pudota concurred, "Customers want more single-window solutions, so IP houses like us are under pressure to meet this challenge with larger portfolios. Also, companies want cost-competitiveness. And customers want to partner with companies that are at the forefront in all technologies. They are buying from us hoping we are experts, and expect us to be highly dependable because we are part of standards committees and are early birds with respect to new products."

Above anything else, a product has to excel its counterparts technologically. It has to consume less power, cost less, and yet be very powerful and feature-rich. These are typical areas of comparison on the technology front.

Additionally, Mehtani pointed out, "From a business point of view, there is a need for more programmable solutions with faster time-to-market and cost-optimisation." Working on



these could also deliver a competitive advantage.

Plus, there is the integrity factor. Reliability and security are important from the client's angle, since it is imperative to protect their business as well as their intellectual properties.

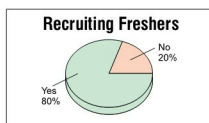
However, IDCs typically do not compete with Indian design houses. They are their partners. As Jain said, "We do not compete with Indian/multinational design houses. We partner with them to provide more efficient and compelling solutions for their end products."

Meeting the market

It is one thing to have a good product, but it's quite another to sell it well. While marketing is very important for any company, it is all the more critical in the case of a design house, as it is not a mere selling exercise but collaboration in every sense.

All the companies interviewed cited that participation in events either as sponsors or having stalls at major events was the best marketing strategy to acquire new customers. Speaking at events was also found to be a very effective technique by most of the respondents (80 per cent).

One-on-one meetings (70 per cent) and Web ads (70 per cent) also gained them significant visibility. A little more than half of the companies interviewed



used e-mailers (60 per cent) and print ads (60 per cent) for branding. Some of the companies acquired new customers through word-of-mouth (50 per cent) or references. A few of the companies had their own innovative marketing tools like webinars, webcasts, workshops, customer training, specific seminars/campaigns in cities, articles in magazines and sponsoring lunch at major events.

Fresh talent at design houses

Finding the right talent is one of the toughest challenges in the design industry. The average experience of design engineers in the surveyed companies ranged from four to nine years.

What about 'freshers'? How do design houses view candidates fresh out of university? Eighty per cent of the respondents said they recruited freshers as India had one of the best talent pools. Some companies even had long-term partnerships with colleges or institutions and recruited from them.

Varma informed, "We also recruit